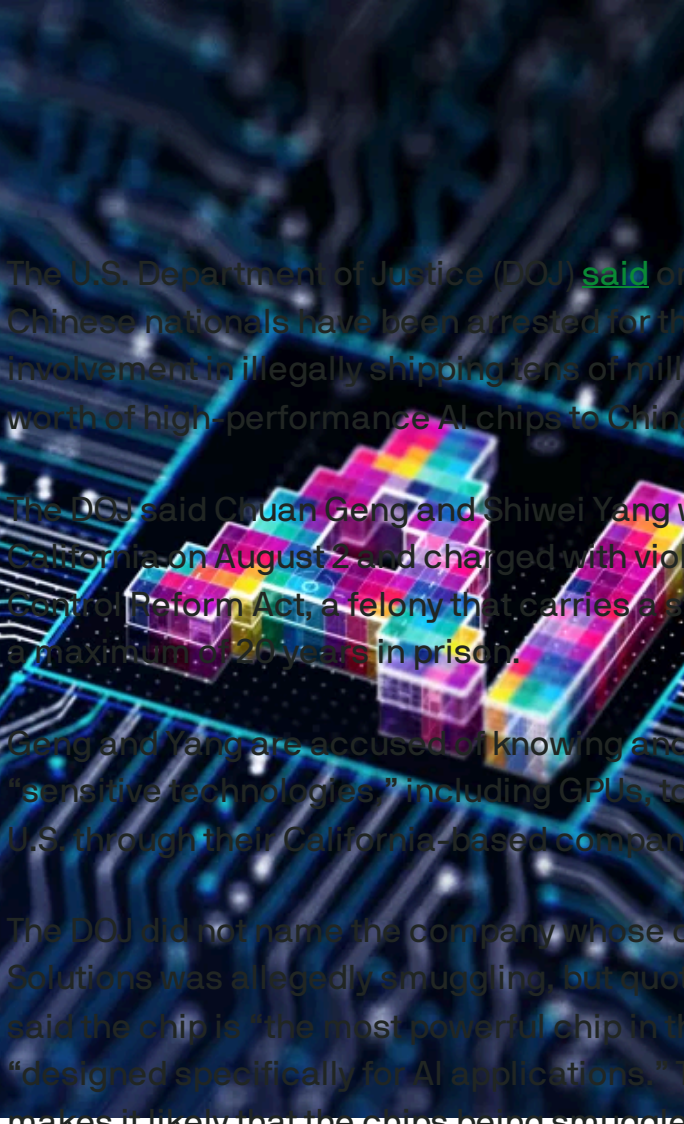




AI



Two arrested for smuggling AI chips to China — Nvidia says no to kill switches



The U.S. Department of Justice (DOJ) [said](#) on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally shipping tens of millions of dollars' worth of high-performance AI chips to China.

The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

Geng and Yang are accused of knowing and willfully shipping "sensitive technologies," including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting a complaint, it said the chip is "the most powerful chip in the market" and is "designed specifically for AI applications." That description makes it likely that the chips being smuggled were made by

IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES
Nvidia. A [report by Reuters](#) specifically named Nvidia's H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding shipping the tech to Malaysia to specifically go around U.S. export restrictions.

"This case demonstrates that smuggling is a nonstarter," an Nvidia spokesperson said in a statement. "We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates."

The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration's

DISRUPT

October 27-29, 2025 | San Francisco

Put your brand in front of 10,000+ tech and VC leaders across all three days of Disrupt 2025. Amplify your reach, spark real connections, and lead the innovation charge. Secure your exhibit space before your competitor does.

[Book Your Table >](#)

Most Popular



- Key sections of the US Constitution deleted from government's website
- Three weeks after acquiring Windsurf, Cognition offers staff the exit door
- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue's AI-generated ad isn't just about fashion
- Lina Khan points to Figma IPO as vindication of M&A scrutiny
- Your public ChatGPT queries are getting indexed by Google and other search engines

recently announced [AI Action Plan](#) belabored the importance of having strong export restrictions but was light on details.

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to [implement tracking technology into chips](#) to help catch smuggling, but chipmakers are quite opposed to such a move.

In a [blog post on Tuesday](#), Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

"Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors," the company wrote. "It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them."

"That's not sound policy. It's an overreaction that would irreparably harm America's economic and national security interests," Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry's tumultuous year so far, here's a [regularly updated timeline](#) of market news since the beginning of 2025.

[f](#) [X](#) [in](#) [reddit](#) [email](#) [link](#)



Rebecca Szkutak
Senior Reporter, Venture | [X](#) [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the same beat for Forbes...

[View Bio](#) >

KEEP READING



[f](#) [X](#) [in](#) [reddit](#) [email](#) [link](#)

Nvidia the latest collateral damage in US-China tech war

Rita Liao — 5:58 AM PDT · September 2, 2022

IMAGE CREDITS: VCG / GETTY IMAGES

Nvidia, the world’s largest maker of artificial intelligence chips, is at the heart of a new round of U.S. tech sanctions

targeting China.

Nvidia noted in [an SEC filing](#) that the U.S. government had imposed new export restrictions on two of its most advanced AI chips to China, including Hong Kong, its second-largest market after Taiwan making up [26% of its revenues in 2021](#).

The ban could cost Nvidia as much as \$400 million in potential sales to China in the third quarter, the firm said.

The export control also bars Nvidia from shipping the chips to Russia, though the company said it doesn't currently sell to the country.

The U.S. government said the move "will address the risk that the covered products may be used in, or diverted to, a 'military end use' or 'military end user' in China and Russia." But the ban is in practice crimping a wide array of businesses and organizations using the silicon beyond military purposes.

The two chips in question are the Nvidia A100 and H100 graphic processing units. A100 is designed to provide high-performance computing, storage, and networking capabilities for industries spanning healthcare, finance, and manufacturing, [explains](#) Chinese e-commerce and cloud computing giant Alibaba, a user of A100.

H100 is the firm's [upcoming enterprise AI chip](#) that is expected to ship by the end of this year and has part of its production done in China.

Advertisement

Newsletters

[See More ↗](#)

Subscribe for the industry's biggest tech news

TechCrunch Daily News



Every weekday and Sunday, you can get the best of TechCrunch's coverage.

Startups Weekly



Startups are the core of TechCrunch, so get our best coverage delivered weekly.

TechCrunch Week in Review



Get the best of our coverage, delivered to your inbox every Saturday.

TechCrunch Mobility



TechCrunch Mobility is your destination for transportation news and insight.



Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

No newsletters selected.

Email address

Subscribe

By submitting your email, you agree to our [Terms](#) and [Privacy Notice](#).

Complexities

There's a silver lining — Nvidia's engagement with China won't be completely severed. The U.S. government has granted permission for the firm to keep manufacturing H100 in China, Nvidia said in a later [filing](#), though purchases by Chinese customers will still be restricted.

The updated authorization also allows Nvidia to keep exporting A100 to its U.S. customers with data centers in China through March 1, 2023.

The more ambiguous terms concern the role of Hong Kong, which is included in the original ban. "The U.S. government authorized A100 and H100 order fulfillment and logistics through the Company's Hong Kong facility through September 1, 2023," the document reads. It's unclear whether Chinese customers can access these chips through the former British colony.

Ripple effects

The U.S.'s move to bar China's access to its high-end technologies has in turn accelerated the latter's pursuit of independence. Huawei has been doubling down on smartphone chip development ever since Washington [put it on an export blacklist over national security concerns](#) in 2019. A swathe of [domestic semiconductor startups](#) is netting hefty investments from VCs and government-guided funds.

While China may still be a generation behind in producing the most sophisticated chips, the country is gradually sharpening its edge in lower-end, specialized semiconductors, such as

[neural processing units](#) meant to boost phone camera capabilities.

The licensing requirement may also trigger an exodus of Nvidia’s China-based talent, which would likely go on to work for domestic alternatives if they weren’t able to relocate overseas. As the firm noted in its filing, the ban “may require the Company to transition certain operations out of China.”

Taiwan’s TSCM, the world’s largest contract chip maker, also stands to lose from the export control as it [does a lot of manufacturing for Nvidia](#).

The Chinese government has condemned the ban, described as “sci-tech hegemony” by foreign ministry spokesperson Wang Wenbin in a [regular press conference](#) on Thursday.

“The US seeks to use its technological prowess as an advantage to hobble and suppress the development of emerging markets and developing countries. This violates the rules of the market economy, undermines international economic and trade order, and disrupts the stability of global industrial and supply chains. China firmly rejects it.”

Updated with more analysis.

[Nvidia’s limited China connections](#)

Topics: [AI chips](#) [alibaba](#) [Asia](#) [China](#) [chips](#) [Companies](#)

[computing](#) [e-commerce](#) [electronics](#) [finance](#)

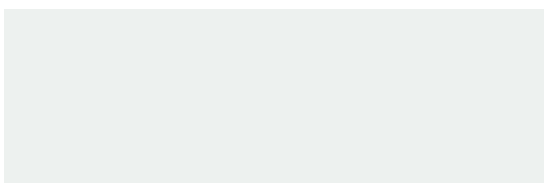
[Hardware](#) [healthcare](#) [Huawei](#) [Intel](#) [manufacturing](#)

[nvidia](#) [russia](#) [semiconductor](#) [semiconductors](#)

[smartphone](#) [U.S. government](#)

[U.S. Securities and Exchange Commission](#) [United States](#)

[Video Cards](#) [washington](#)





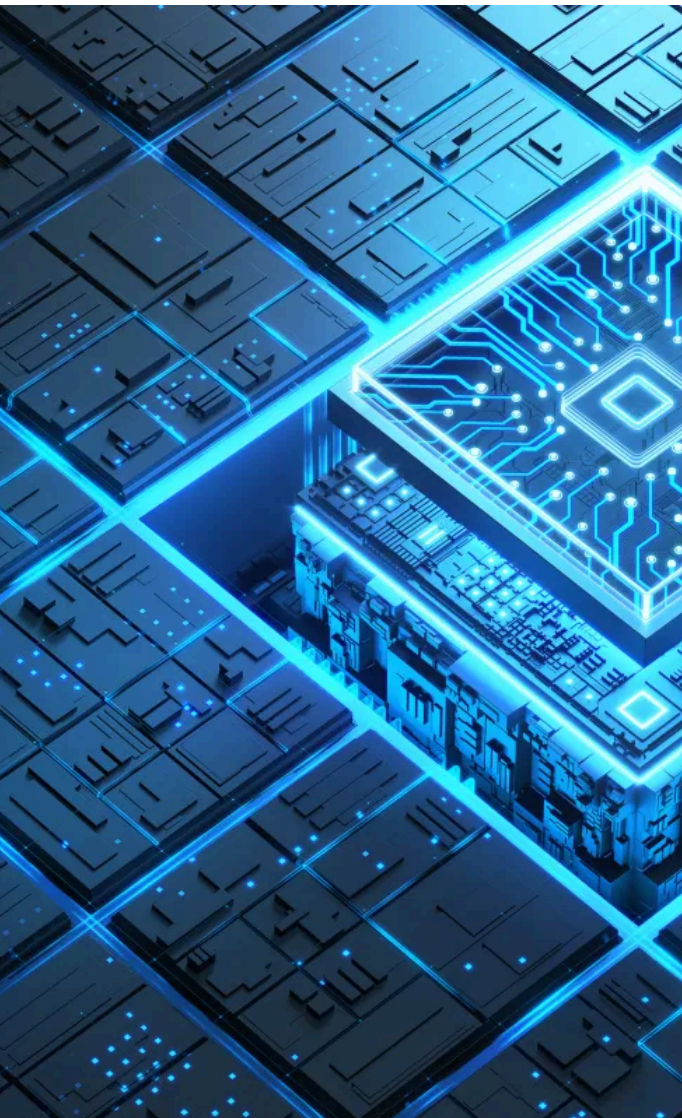
Rita Liao

Reporter, China |

Rita covered Asia for TechCrunch, with a special interest in Chinese companies going global and web3 projects with real-world...

[View Bio](#) >

KEEP READING



AI



A timeline of the US semiconductor market in 2025

Rebecca Szkutak — 10:01 AM PDT · July 25, 2025

It's been a tumultuous year for the U.S. semiconductor industry.

The semiconductor industry plays a sizable role in the “AI race” that the U.S. seems determined to win, which is why this context is worth paying attention to: from Intel’s appointment of Lip-Bu Tan to CEO — who wasted no time getting to work trying to revitalize the legacy company — to Joe Biden proposing sweeping new AI chip export rules on his way out of office that never came to fruition.

Here’s a look at what’s happened so far in 2025.

July

Intel continues to look for efficiency

July 24: Intel announced that it was [pulling back on some of its manufacturing operations](#). The company will no longer pursue its previously announced projects in Germany and Poland and is consolidating its test operations. Intel also announced it plans to end this year with around 75,000 employees.

Trump’s AI Action Plan

July 23: The Trump administration unveiled its much-anticipated [AI Action Plan](#) alongside multiple related executive orders. While the plan includes a lot regarding the need for U.S. chip export controls, and for the U.S. to coordinate with its allies on this effort, it doesn’t provide any concrete information on what these restrictions would look like.

Groundbreaking UAE AI deal reportedly on hold

July 17: The Trump administration helped foster a groundbreaking deal in May that resulted in a commitment from the United Arab Emirates to buy billions of dollars’ worth of AI chips from Nvidia. But now [that deal is reportedly on hold](#) as the U.S. works through national security concerns and fears that those chips could be smuggled from the Middle East to China.

Advertisement

Latest in AI

[See More](#)

AI



Google denies AI search features are killing website traffic

Sarah Perez - 16 hours ago

AI



First impressions of Alexa+, Amazon’s upgraded, AI-powered digital assistant

Sarah Perez - 17 hours ago

AI



Google takes on ChatGPT’s Study Mode with new ‘Guided Learning’ tool in Gemini

Aisha Malik - 18 hours ago

Advertisement

Nvidia is a bargaining chip

July 16: A day after semiconductor firms like Nvidia and AMD got the green light to resume selling certain AI chips to China, we found out why. U.S. Commerce Secretary Howard Lutnick said the plans to allow U.S. companies to start selling AI chips in China is [tied to ongoing trade discussions](#) between the U.S. and China regarding rare earth elements.

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

U.S. chips head back to China

July 14: Nvidia said it was filing an application to [restart sales of H20 AI chips](#) in China, [confirming rumors from a few weeks prior](#). The company also announced that it would be selling a new chip, the RTX Pro, which was designed specifically for the Chinese market.

Malaysia fights chip smuggling

July 14: Malaysia announced that it was launching [trade permits for U.S.-made AI chips](#). Under this new restriction, any individual or business would need to give the Malaysian government 30 days notice before exporting any U.S. AI chips.

June

Intel appoints new leadership

June 18: Intel announced [four new leadership appointments](#) that Intel says will help it move toward its goal of becoming an engineering-first company again. Intel announced a new chief revenue officer in addition to multiple high-profile engineering hires.

Intel to begin layoffs

June 17: Intel will begin to [lay off a significant chunk of its Intel Foundry staff](#) in July. The company plans to eliminate at least 15%, and up to 20%, of workers in that business unit. These layoffs aren't a shock: It was rumored back in April, and Intel's CEO Lip-Bu Tan has said he wants to flatten the organization.

Nvidia won't report on China

June 13: Nvidia isn't counting on the U.S. backing off of its AI chip export restrictions anytime soon. After the company took a financial hit from the newly imposed licensing requirements on its H20 AI chips, Nvidia CEO Jensen Huang said the company will [no longer include the Chinese market](#) in future revenue and profit forecasts.

AMD acquires the team behind Untether AI

June 6: AMD makes another acquisition — this time focused on talent. The company [acqui-hired the team behind Untether AI](#), which develops AI inference chips, as the semiconductor giant continues to round out its AI offerings.

AMD is coming for Nvidia's AI hardware dominance

June 4: AMD continued its shopping spree. The company [acquired AI software optimization startup Brium](#), which helps companies retrofit AI software to work with different AI hardware. With a lot of AI software being designed with Nvidia hardware in mind, this acquisition isn't surprising.

May

Nvidia lays out the impact of chip export restrictions

May 28: Nvidia reported that U.S. licensing requirements on its H20 AI chips [cost the company \\$4.5 billion in charges](#) during Q1. The company expects these requirements to result in an \$8 billion hit to Nvidia's revenue in Q2.

AMD acquires Enosemi

May 28: AMD kicks off its acquisition spree. The semiconductor company [announced that it acquired Enosemi](#), a silicon photonics startup. Enosemi's tech, which uses light photons to transmit data, is becoming an increasing area of interest for semiconductor companies.

Tensions start to flare between China and the U.S.

May 21: China's Commerce Secretary didn't like the U.S.'s guidance, issued on May 13, that warned U.S. companies that using Huawei's AI chips "anywhere in the world" was a U.S. chip export violation. The commerce secretary [issued a statement that threatened legal action](#) against anyone caught enforcing that export restriction.

Intel may be starting to offload its non-core units

May 20: Intel CEO Lip-Bu Tan seemingly got right to work on his plan to spin out Intel's non-core business units. The semiconductor giant is reportedly looking to [offload its networking and edge units](#), which makes chips for telecom equipment, and was responsible for \$5.4 billion of the company's 2024 revenue.

The Biden administration's AI Diffusion rule is officially dead

May 13: Just days before the Biden administration's Artificial Intelligence Diffusion Rule was set to go into place, the [U.S. Department of Commerce formally rescinded it](#). The DOC said

that it plans to issue new guidance in the future, and in the meantime companies should remember that using Huawei's Ascend AI chips anywhere in the world is a violation of U.S. export rules.

A last-minute reversal

May 7: Just a week before the "Framework for Artificial Intelligence Diffusion" was set to go into place, the Trump administration plans on taking a different path. According to multiple media outlets, including [Axios](#) and [Bloomberg](#), the administration won't enforce the restrictions when they were supposed to start on May 15 and is instead working on its own framework.

April

Anthropic doubles down on its support of chip export restrictions

April 30: Anthropic [doubled down on its support](#) for restricting U.S.-made chip exports, including some tweaks to the Framework for Artificial Intelligence Diffusion, like imposing further restrictions on Tier 2 countries and dedicating resources to enforcement. [An Nvidia spokesperson shot back](#), saying, "American firms should focus on innovation and rise to the challenge, rather than tell tall tales that large, heavy, and sensitive electronics are somehow smuggled in 'baby bumps' or 'alongside live lobsters.'"

Planned layoffs at Intel

April 22: Ahead of its Q1 earnings call, Intel said it was planning to lay off more than [21,000 employees](#). The layoffs were meant to streamline management, something CEO Lip-Bu Tan has long said Intel needed to do, and help rebuild the company's engineering focus.

Latest	Security
Startups	AI
Venture	Apps
Apple	

[Events](#)
[Podcasts](#)
[Newsletters](#)

chip exports

April 9: Nvidia's CEO [Jensen Huang was spotted attending dinner at Donald Trump's Mar-a-Lago](#) resort, according to reports. At the time, [NPR reported](#) Huang may have been able to spare Nvidia's H20 AI chips from export restrictions upon agreeing to invest in AI data centers in the U.S.

An alleged agreement between Intel and TSMC

April 3: Intel and TSMC [allegedly reached a tentative agreement](#) to launch a joint chipmaking venture. This joint venture would operate Intel's chipmaking facilities, and TSMC would have a 20% stake in the new venture. Both companies declined to comment or confirm. If this deal doesn't come to fruition, this is likely a decent preview of potential deals in this industry to come.

Intel spins off noncore assets, announces new initiative

April 1: CEO Lip-Bu Tan got to work right away. Just weeks after he joined Intel, the company announced that it was going to [spin off noncore assets](#) so it could focus. He also said the company would launch new products, including custom semiconductors for customers.

March

Intel names a new CEO

March 12: Intel announced that industry veteran, and former board member, [Lip-Bu Tan would return to the company as CEO](#) on March 18. At the time of his appointment, Tan said Intel

would be an “engineering-focused company” under his leadership.

February

Intel’s Ohio chip plant gets delayed again

February 28: Intel was supposed to start operating its first chip fabrication plant in Ohio this year. Instead, [the company slowed down construction](#) on the plant for the second time in February. Now the \$28 billion semiconductor project won’t wrap up construction until 2030 and may not even open until 2031.

Senators call for more chip export restrictions

February 3: U.S. senators, including Elizabeth Warren (D-Mass) and Josh Hawley (R-Mo), wrote a letter to Commerce Secretary Nominee-Designate Howard Lutnick [urging the Trump administration to further restrict](#) AI chip exports. The letter specifically referred to Nvidia’s H20 AI chips, which were used in the training of DeepSeek’s R1 “reasoning” model.

January

DeepSeek releases its open “reasoning” model

January 27: Chinese AI startup [DeepSeek](#) caused quite the stir in Silicon Valley when it released the [open version of its R1 “reasoning” model](#). While this isn’t semiconductor news specifically, the sheer alarm in the AI and semiconductor industries DeepSeek’s release caused continues to have ripple effects on the chip industry.

Joe Biden’s executive order on chip exports

January 13: With just a week left in office, former president Joe Biden [proposed sweeping new export restrictions](#) on U.S.-made AI chips. This order created a three-tier structure that

determined how many U.S. chips can be exported to each country. Under this proposal, Tier 1 countries faced no restrictions; Tier 2 countries had a chip purchase limit for the first time; and Tier 3 countries got additional restrictions.

Anthropic’s Dario Amodei weighs in on chip export restrictions

January 6: Anthropic co-founder and CEO Dario Amodei co-wrote an op-ed in [The Wall Street Journal](#) endorsing existing AI chip export controls and pointing to them as a reason why China’s AI market was behind the U.S.’. He also called on incoming president Donald Trump to impose further restrictions and to close loopholes that have allowed AI companies in China to still get their hands on these chips.

This story originally published May 9, 2025, and is regularly updated with new information.

Topics: [AI](#) [Anthropic](#) [China](#) [chips](#) [Enterprise](#) [evergreens](#)

[Hardware](#) [Intel](#) [nvidia](#) [semiconductor](#) [TSMC](#)

[United States](#)

[f](#) [X](#) [in](#) [👤](#) [✉](#) [🔗](#)



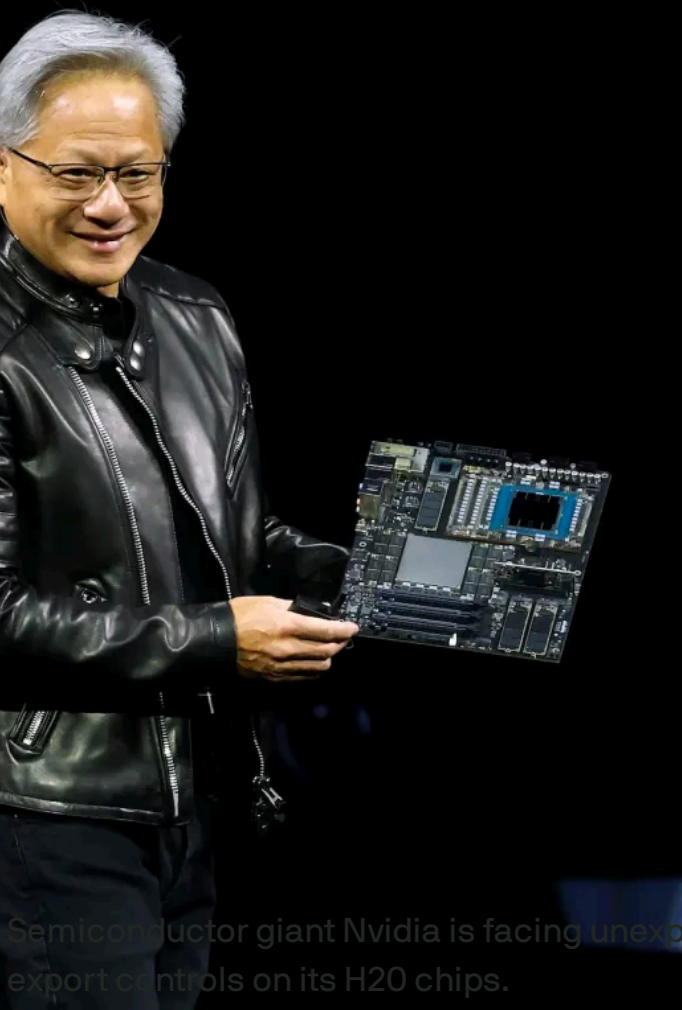
Rebecca Szkutak

Senior Reporter, Venture | [X](#) [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the same beat for Forbes...

[View Bio](#) >

———— KEEP READING ————



Nvidia H20 chip exports hit with license requirement by US government

Rebecca Szkutak — 3:24 PM PDT · April 15, 2025

Semiconductor giant Nvidia is facing unexpected new U.S. export controls on its H20 chips.

IMAGE CREDITS: JUSTIN SULLIVAN / GETTY IMAGES

[In a filing Tuesday](#), Nvidia said it was informed by the U.S. government that it will need a license to export its H20 AI chips to China. This license will be required indefinitely, according to the filing — the U.S. government cited “risk that the [H20] may be used in ... a supercomputer in China.”

Nvidia anticipates \$5.5 billion in related charges in its Q1 2026 fiscal year, which ends April 27. The company’s stock was down around 6% in extended trading.

The H20 is the most advanced AI chip Nvidia can export to China under the U.S.’s current and previous export rules. Last week, [NPR](#) reported that CEO Jensen Huang might have [talked his way out](#) of new H20 restrictions during a dinner at President Donald Trump’s Mar-a-Lago resort, in part by committing that Nvidia would invest in AI data centers in the U.S.

Perhaps not so coincidentally, Nvidia [announced on Monday](#) that it would spend hundreds of millions of dollars over the next four years manufacturing some AI chips in the U.S. [Pundits](#) were quick to point out that the company’s commitment was light on the details.

Advertisement

TC DISRUPT

October 27-29, 2025 | San Francisco

Put your brand in front of 10,000+ tech and VC leaders across all three days of Disrupt 2025. Amplify your reach, spark real connections, and lead the innovation charge. Secure your exhibit space before your competitor does.

[Book Your Table >](#)

Most
Popular



Multiple government officials had been calling for stronger export controls on the H20 because the chip was allegedly used to train models from China-based AI startup DeepSeek, including the R1 “reasoning” model that threw the U.S. AI market for a loop in January.

Nvidia declined to comment.



Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They’re here to deliver the insights that fuel startup growth and sharpen your edge. Don’t miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

- Key sections of the US Constitution deleted from government’s website
- Three weeks after acquiring Windsurf, Cognition offers staff the exit door
- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue’s AI-generated ad isn’t just about fashion
- Lina Khan points to Figma IPO as vindication of M&A scrutiny
- Your public ChatGPT queries are getting indexed by Google and other search engines

Topics: [AI](#) [AI chips](#) [deepseek](#) [Enterprise](#) [nvidia](#)
[semiconductor](#)

Advertisement

Advertisement



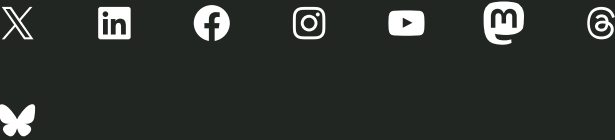
Rebecca Szkutak

Senior Reporter, Venture |

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the same beat for Forbes...

[View Bio](#) >

Loading the next article



- [TechCrunch Staff](#)
[Contact Us](#)
[Advertise](#)
[Crunchboard Jobs](#)
[Site Map](#)
- [Terms of Service](#)
[Privacy Policy](#)
[RSS Terms of Use](#)
- [OpenAI](#)
[Perplexity](#)
[Cisco](#)
[DeepMind](#)
[Windsurf](#)
[Tech Layoffs](#)
[ChatGPT](#)